

Centum Investment Company Ltd.,
International House,
5th Flr. Mama Ngina St.
P.O Box 10518-00100
Nairobi, Kenya.

Tel: + 254 20 2286000
Mobile: + 254 722 205339
Fax: + 254 20 2223223
Email: info@centum.co.ke
www.centum.co.ke



November 19, 2014

Andrew Wachira
Ag. Chief Executive
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI

Dear Andrew,

RE: FINANCIAL RESULTS FOR THE HALF YEAR ENDED 30 SEPTEMBER 2014

The Board of Directors of Centum Investment Company Limited is pleased to announce the unaudited financial results for 6 month period ended 30 September 2014:

Consolidated and Company Statement of Comprehensive Income for the 6 month period ended 30 September 2014

	Group		Company	
Kshs. Million	Sep' 14	Sep' 13	Sep' 14	Sep' 13
Investment Income	1,897	1,198	1,096	994
Operating and Administrative costs	(677)	(219)	(247)	(178)
Finance Costs	(262)	(298)	(262)	(295)
Share of Associate Profits	327	352	-	-
Profit Before Tax	1,285	1,032	587	521
Profit After Tax	1,230	892	587	507
Other Comprehensive Income	2,062	576	3,816	688
Total Comprehensive Income	3,291	1,468	4,403	1,195
Earnings Per Share-Basic	1.79	1.34		

Consolidated and Company Statement of Financial Position as at 30 September 2014

	Group		Company	
Kshs. Million	Sep' 14	Mar' 14	Sep' 14	Mar' 14
Portfolio value	31,994	28,255	33,735	28,779
Other assets	10,064	1,342	14	33
Total Assets	42,058	29,597	33,749	28,811
Borrowings	6,228	5,492	6,228	4,150
Other Liabilities	12,265	3,832	262	1,120
Capital and Reserves	23,564	20,273	27,339	22,936
Total Capital and Liabilities	42,058	29,597	33,749	28,811
NAV per share (Kshs.)			41.08	34.47

Consolidated Statement of Cash flows
6 month period ended 30 September 2014

Kshs. Million	Sep' 14	Sep' 13
Opening cash and cash equivalents	(447)	1,502
Net cash from operations	1,515	42
Net cash from investing activities	(1,707)	(1,704)
Cash from financing activities	(390)	(287)
Exchange (losses)/gains	-	-
Closing cash and cash equivalents	(1,030)	(447)

Consolidated Statement of Changes in Equity
for period ended 30 September 2014

Kshs. Million	Sep' 14	Sep' 13
Share Capital	333	333
Share Premium	590	590
Revaluation Reserve	8,237	3,404
Retained Earnings	14,104	10,783
NCI	300	-
Total	20,272	15,110

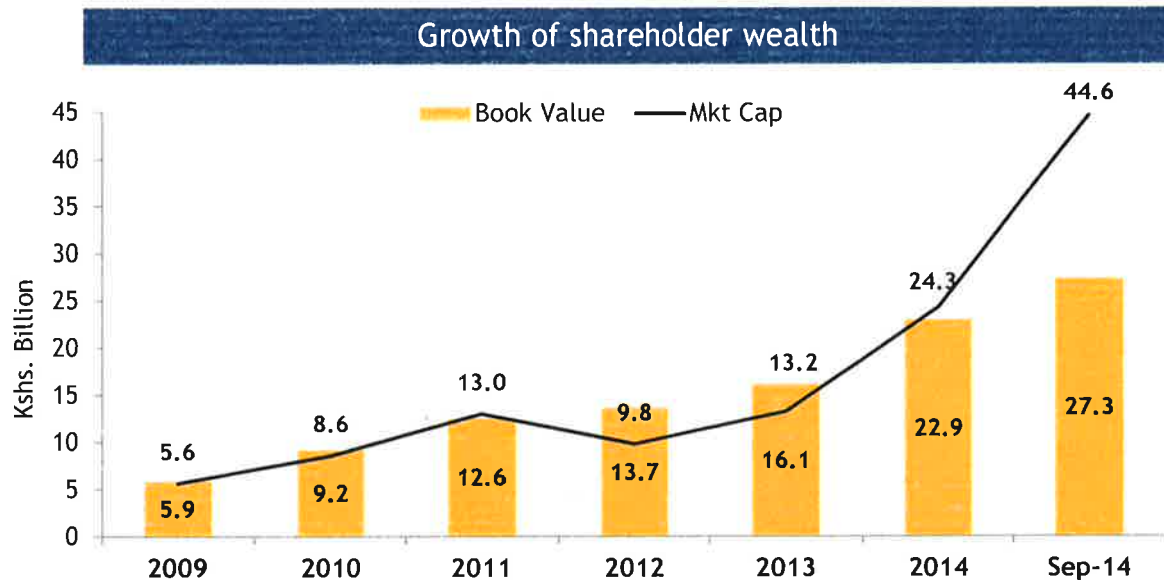
The financial data presented above are selected extracts (without material adjustment) of the unaudited financial results. For an in-depth analysis of performance, please visit www.centum.co.ke

REVIEW OF PERFORMANCE

A. Review of HY2015 performance

As at HY2015, the Company recorded a Kshs 4.4 billion increase in Net Worth, representing a Value (NAV) growth of 19% to Kshs 27.3 Billion as at 30 September 2014. The book value of shareholder wealth has since 2009 (since we embarked on our 2009-2014 strategy) grown by Kshs 21.4 Billion, a cumulative growth of 457% or at a rate of 33% compounded annually.

In the last 6 months, the market value of shareholder funds has increased by Kshs 14 billion, representing 84% growth in value generated to shareholders since 1 April 2014. Since March 2009, the market value of shareholder funds has grown from Kshs 5.6 Billion to Kshs 44.6 Billion in September 2014 representing 696% growth in value generated to shareholders. Every shilling invested in Centum in March 2009 was worth Kshs 7.96 in September 30, 2014.



Consolidated profit after tax increased by 38% to Kshs 1.23 Billion from Kshs 0.89 Billion in the prior year. This performance was driven by a 58% increase in investment income. Portfolio costs increased by 209% due to the increased numbers of subsidiaries included in the consolidated performance. Key amongst these is Genesis Kenya Investment Management, whose acquisition was completed in December 2013.

Company costs for the period are currently at 0.71% of Centum portfolio value, which is well within our annual 2.0% ceiling.

Other comprehensive income increased by 258% to Kshs 2.1 Billion from Kshs 0.6 Billion, on account of an increase in the unrealised value of Centum's equity portfolio.

In line with the strategy and policy adopted by shareholders, the Board does not recommend payment of an interim dividend.

B. Performance against strategy

We continue to maintain the momentum from our last strategy period and have set ambitious targets for the 2014/19 Strategy period. We are pleased to report our progress against these targets.

i. Return - Generate an annualized return of 35% over the strategic period

Our objective is to grow the book value of shareholder funds at a rate that exceeds the average market return. We have achieved an average annualized return of 33% on the book value of shareholder funds, outperforming the NSE 20 share index performance by 22% over the 5 year and 6 months period between 1 April 2009 and 30 September 2014. As at 30 September 2014, we had delivered a return of 19% compared to a return of 6% of the NSE 20 share index over the same period, a 13% outperformance.

Cumulatively over the last five and a half years, Centum has delivered a return on the book value of shareholder funds of 457% as compared to the NSE 20 share index return of 86%, representing a 371% outperformance.

22% average outperformance against the NSE over the 5 years			
Year	Centum NAV Return	NSE 20 Return	Centum Outperformance
2010	56%	43%	13%
2011	37%	-4%	41%
2012	9%	-13%	22%
2013	19%	44%	-26%
2014	42%	2%	40%
HY2015	19%	6%	13%
Geometric Average	33%	11%	22%
Aggregate Return	457%	86%	371%

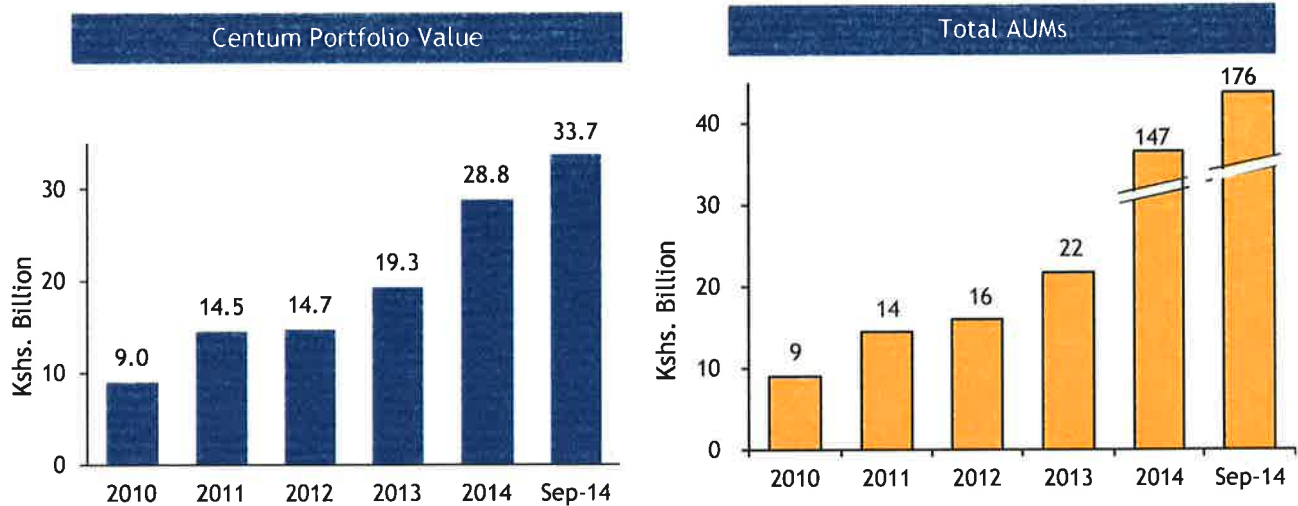
ii. Develop, scale and grow investment capabilities in the 8 new sectors

On 1 April 2014, we initiated the Centum 3.0 strategy that covers the five year period to 31 March 2019. We have shifted our focus within Private Equity area of our business from being a portfolio manager to becoming a developer of investment grade opportunities. We have identified 8 sectors where to focus. The eight sectors identified are; Real Estate, Energy, Financial Services, Agriculture, Information Communication Technology, Fast moving consumer goods, Healthcare and Education. These are sectors that we believe are the key drivers of our economy.

As at 30 September 2014, we had ongoing prospects in four of eight sectors; Fast Moving Consumer Goods (FMCG), Financial services, real estate and power.

iii. Grow total Assets Under Management to Kshs 720 Billion

Total assets under management stood at Kshs 175.7 billion an increase of Kshs 22.5 billion over the six month period. The total assets under management consistutes Kshs 140.4 billion being third party funds managed by our two asset management subsidiaries, Genesis Kenya and Nabo Capital, while Kshs 34.9 were Centum's assets.



iv. **Brand**

Leadership development remains key and during the period we focused on developing individuals within Centum, who will over time mature into higher levels of leadership proficiency and lead the enterprises we look to create across Africa.

Following the success of our inaugural program, 22 graduates, from across the region, joined our 2014 graduate program in August 2014. The program is expected to support the Group's growth agenda. The participants will be exposed to a series of development interventions, corporate operations and be assigned specific projects to deliver. Those who are successful will thereafter take up positions within the Centum Group.

Our passion for excellence & delivery to promise saw us feted with several awards;

- i. Financial Reporting Excellence (FiRe) Awards 2014: Winner - Corporate Governance Category.
- ii. Champions of Governance Awards: Winner - CEO of the Year (James Mworio), Winner - Certified Company Secretary of the year (Fred Murimi).

The performance for the half year to 30 September 2014 was on the back of following significant milestones.

1. Real Estate & Infrastructure Business line

i. **Two Rivers Project**

Construction of Phase 1 infrastructure at the Two Rivers development is currently on schedule for commissioning at the end of June 2015 while the construction of the Two Rivers Lifestyle Centre is on schedule for opening in October 2015.

The Centre is the largest retail mall development in sub-Saharan Africa, excluding South Africa. Approximately 51% by area of the 670,000 sq.ft retail gross leasable area (GLA) is leased out while 10% of the 230,000 sq.ft of office towers above the Centre is pre-let. In October 2014, Carrefour officially signed on to lease 110,000 sq.ft as the anchor tenant for the mall.

ii. Pearl Marina Project

We are currently evaluating contractors with an intention to commence this project once a suitable contractor is identified. The project's master plan was been approved by local authorities.

We have attracted considerable interest locally and internationally for the project.

2. Private Equity Business line

I am happy to report that our Private Equity (PE) business has completed the acquisition of 66% shareholding in K-Rep Bank. The bank is expected to deliver significant synergies within the Group. We intend to reposition the bank by revamping its strategy and help it grow to be a strong Tier II bank.

We have a number of attractive opportunities that are currently under development. In the power sector, we are currently working on developing the 960 MW Lamu Coal Power project and 70 MW Akiira Geothermal Power project. In addition, we are in advanced stages of developing platform opportunities of scale in agriculture, healthcare, fast moving consumer goods and education.

The PE business line continued to focus on value creation initiatives within the portfolio companies which resulted in performance improvement as well as an increase in dividend income during the period.

3. Asset Management Business line

Our asset management subsidiary, Centum Asset Managers, recently rebranded to Nabo Capital. In the period under review, Nabo Capital increased its assets under management (AUMs) from Kshs 1.2 billion to Kshs 9.5 billion. We are also pleased that only 12 months after its establishment, Nabo Capital recorded a profit after tax of Kshs 18Mn in the first 6 months of the 2014 financial year.

In aggregate, our asset management businesses delivered Kshs 337 million in fund management income, which is an entirely new income stream for the Group.

Centum's Credit Rating

In September 2014, Centum's credit rating was upgraded to a credit rating **A and A1** for both short and long term with a **STABLE** outlook from the Global Credit Rating Company (GCR). The upgraded rating is a reflection of Centum's financial stability as well as its cash generating ability that has enabled the Company to meet its debt obligations while still attaining its strategic objectives. In their ratings report, GCR noted that Centum's asset pool was strongly cash generative, with the Group reporting significant interest and dividend income from its private equity and marketable securities portfolios. Such recurring cash earnings provide strong support to debt serviceability. Centum's cash flows are also bolstered by the trading of investments, which has historically resulted in large realised gains and provided liquidity for new investments.

OUTLOOK

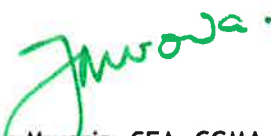
With improving economic fundamentals and our active portfolio management, we are confident of better prospects for generating market beating returns during the second half of the year. The focus of private equity business will be to maximise the value of the portfolio through execution of various value creation plans as well as completing the various investment opportunities that are currently within its pipeline.

On the real estate side of the business; we continue to focus on the completion of infrastructure and development of the Two Rivers Retail Mall, as well as breaking ground on Phase One of the Pearl Marina project.

CONCLUSION

Centum today has a high quality portfolio of investments and attractive and proprietary pipeline of opportunities, a world class team of professionals to ensure the execution of business objectives, an entrepreneurial culture, a strong cash generative business coupled with a healthy balance sheet and an effective Board of Directors. We believe that these factors have positioned Centum to achieve better results in the future and play an even greater transformational role in the development of the economies of Sub-Sahara Africa.

By Order of the Board



James Mworia, CFA, CGMA
Managing Director

cc Mr. Gordon Mwebesa
Ag. Chief Executive
Uganda Securities Exchange
Kampala, Uganda

Mr. Paul Muthaura
Ag. Chief Executive
Capital Markets Authority
Nairobi, Kenya

Mr. Keith Kalyegira,
The Chief Executive,
Capital Markets Authority,
Kampala, Uganda